

Zepto vs Blinkit: The Quick-Commerce Delivery Duel Case Note

Both in the current and previous instances, these two companies vie for dominance over the quick-commerce delivery market in India, which is the focus of this case. Rivalry has characterized their actions as they seek to offer a wide variety of grocery items and other goods with delivery within ten minutes. The two have attracted substantial venture funding in consecutive funding rounds. Their combined valuation exceeds one billion dollars, with the two companies making strategically identical decisions in the dark-store space, delivery predictability, and price depth. The companies' interaction can be compared to a game with other market participants involved, with the two dark-store rivals making decisions simultaneously, using a preemptive capacity-building approach, and engaging in a war of attrition supported by external financing to overcome the high barriers to entry, among others. The case note traces out the strategic interaction and applies gametheoretic analysis to rationalize the interaction as one in which neither company had an incentive to deviate from the status quo. There are also significant losses being accrued in the payment war between the two, with the note providing some insights to adopting similar strategies by firms in other industries with network effects, limited product differentiation, and heavy reliance on external financing. Game theory studies decision-making processes in situations where an actor or player's payoff is dependent on the actions of other strategic decision-makers in the same situation. This differs from optimization problems in which a firm's decision is independent of the choices made by other entities. There are four key elements used to analyze and solve a game-theoretic problem. These include the players, who are the firms or individuals making the decisions; Strategies, which are the possible actions available to each player; payoffs, which are the value of each possible combination of strategies; and Equilibrium concepts, which are the solution to the game, with Nash equilibrium being the most common. The most critical distinction is whether the game is one of simultaneous or sequential moves, where the former refers to a situation where each player makes decisions without knowledge of the other's decisions. In contrast, the latter is a scenario where one firm commits to its course of action, and the other responds with full knowledge of the first's strategy. As demonstrated in the following analysis, the interaction between Zepto and Blinkit is more of a simultaneous-move game, with each having to make rapid decisions on adopting a certain strategy, particularly around the number of dark stores to open, pricing strategies, and the speed of adopting new strategies, among others. These decisions are made with full knowledge of the other's previous moves but without having forecasted them. Quick commerce emerged in India in 2021 and 2022 as an offshoot of the e-grocery space, promising to deliver staples and other goods within ten to fifteen minutes using a network of local warehouses referred to as dark stores. Blinkit, formerly Grofers, which had previously been acquired by Zomato in 2022, was an early entrant in the market and has had the upper hand in terms of existing grocery delivery networks. Zepto, on the other hand, was founded in 2021, aggressively fundraising and raising its valuation to unicorn status soon after launch. Other notable players in the market include Swiggy Instamart, which has been acquired by Flipkart as the Minutes brand, and BigBasket's BBnow, although the two smaller entrants have historically been overshadowed by the larger players. Subsequently, Zepto and Blinkit emerge as the two major rivals in the quick-commerce space, with both engaging in aggressive funding campaigns and expansion as of the time of publication. Due to the proximity of dark stores to the target consumers, catchment areas for each warehouse typically measure between two and three kilometers. This implies that whoever achieves density within the local area has a significant advantage in terms of delivery time and overall cost-efficiency. Consequently, the two competitors have had to adopt aggressive expansion strategies to establish and maintain their presence within a given locality, as there are substantial sunk costs associated with launching and maintaining dark stores. The strategic interaction between Zepto and Blinkit can, therefore, be modeled as a sequential-move game with each taking turns in committing to capacity expansion, aggressive discounting strategies, and funding rounds. A simultaneous-move component is also present, as neither company can predict with a degree of certainty the other's responses to its moves. The two companies can be considered as the only major players in the game, with Swiggy Instamart, Flipkart Minutes, and BBnow representing the fringe. The strategy set for each of the two majors includes the speed, or lack thereof, at which each can introduce new dark stores and warehouses in support of its delivery network, including the extent to which it will have to discount delivery charges and overall pricing. The rate at which each will be able to raise funds to support the expansion and pricing strategies will also define the game, as will the overall payoff, which is defined by the operating profits of each. Unlike in a sequential-move game, where one company would be in a position to commit to a strategy and for the other to respond with full knowledge of the first's strategy, neither Zepto nor Blinkit has demonstrated a commitment to being the first-mover. Although Blinkit had an advantage in terms of early entry, Zepto was able to utilize its superior fundraising to offset costs and achieve a slight edge in the number of warehouses and, consequently, its coverage. Blinkit subsequently responds to Zepto's expansion with Blinkit's funding round, with the cycle continuing to fund the next round of expansion financing. It is notable that neither is in a position to fully commit to and adopt a price leadership strategy due to the high costs associated with launching new dark stores and the rapid response from the rival firm whenever a new warehouse is opened. This dynamic, therefore, resembles more of a repeated prisoner's dilemma game, where the two companies are unable to reach a Nash equilibrium solution, a state in which neither firm would be willing to change strategy given the strategy of the rival. Subsequent to the analysis, more insights are obtained

on how Zepto and Blinkit engage in price competition and capital raising as well as the implications of their strategies. The pre-emption on the part of the two companies to expand their coverage footprints is the most notable game-theoretic aspect of their interaction. This is because, in the majority of instances, the game is one of simultaneous moves in which each firm forecasts the rival's strategy and responds accordingly. This is demonstrated as the two companies aggressively fund their operations so that they can build warehouses and subsequently discount pricing to attract customers and maintain or improve levels of demand for its delivery service. The simultaneous nature of the strategy is evidenced by each firm's expansion decisions, which are typically made in response to the other's actions. It is, therefore, fair to conclude that Zepto and Blinkit play a repeated prisoner's dilemma game, with each adopting a wait-and-see strategy as a means of responding to the aggressive investment and rapid discounting on the part of the other. This is further exacerbated by the high costs of expansion, which neither is willing to absorb unless with significant confidence in its ability to sustain its competitive advantage. In essence, each company will adopt aggressive investment and discounting to reduce the overall industry capital expenditure, with the company with a lower capital expenditure advantage in the subsequent rounds of investment. Although the prisoner's dilemma has been a dominant force in shaping the interaction, it is notable that neither company is able to dictate pricing strategy with absolute confidence, with each experiencing losses in most markets. As such, the situation resembles more closely to a war of attrition, in which each is expected to operate at a loss in the short term while waiting for the other to concede. The war of attrition is primarily concerned with the length of time that either company is willing to continue incurring losses in its efforts to drive the other out of the market. Consequently, each player must determine the costs the rival is willing to bear while continuing to operate, with the costs being significantly higher in the case of a simultaneous move. Consequently, any announcements of new funding, as demonstrated in the case with Zepto's massive fundraising, can be interpreted as a signal by the company of its ability to continue with the losses for a longer time, with implications for the rival Blinkit, which is forced to reassess its strategy. It is this dynamic that allows either party to de-escalate the level of losses, for instance, by slowing down the pace at which it launches new dark stores as well as the extent to which it discounts its prices. As such, a war of attrition can be described as a series of repeated prisoner's dilemma games. As such, it is in the best interest of either company to announce significant fundraising to signal its commitment to continuing with aggressive investment and discounting while pushing Blinkit to respond accordingly. It is important to observe the implications of the strategy, including the fact that each firm would experience losses unless the costs of investment and discounting are offset by higher revenues. War of attrition is also a game of incomplete information, with each firm acting on the assumptions it has made about the rival's costs. In most instances, the decision on whether to continue with the war or not depends on a player's estimation of his or her advantage over the rival, including his or her willingness to accept losses in the short term to drive the other out of the market. Consequently, Blinkit and Zepto will be required to interpret public disclosures from the other about funding and pricing as signals of the rival's costs. Such assumptions are, however, inherently inaccurate, with the two firms, particularly Blinkit, as the weaker player, having to factor in the costs of its own aggressive fundraising, particularly given its lower valuation, before adjusting its own investment and discounting strategy. One of the most important public disclosures comes from the two companies' ability to adopt aggressive pricing and investment, which will enable either to determine the sustainability of its investment and discounting. It is this dynamic that explains why Zepto and Blinkit rarely make public disclosures on the number of warehouses, the number of cities or neighborhoods they occupy, or the amount of funding they raise. In essence, each statement is a signal to the rival of the ability of the disclosing firm to continue with aggressive investment and discounting, with the response in most cases being an equally aggressive response. This, therefore, implies that any firm considering a strategy change must have a long-term view in which it has considered all the ramifications of its actions with regard to ongoing investment and discounting. The repeated game theory also provides more insight into the strategic interaction, particularly because the two players are aware that they are in a game in which they will continue to participate for an extended period. Consequently, either has the option of adopting a tit-for-tat strategy of the other to encourage cooperation. As demonstrated in the scenario, Zepto or Blinkit could adopt a strategy in which it does not aggressively invest and discount in a certain neighborhood or city, thus creating an opportunity for the rival to do so with no response. As demonstrated by the discussion and analysis presented here, Zepto and Blinkit are in a war of attrition, with each using aggressive pricing and investment to push the other to reconsider its strategy. Each firm has adopted a strategy of aggressive pricing and investment to offset the actions of its rival, with the strategy being in line with the prisoner's dilemma. Blinkit, as the weaker player, is particularly affected by Zepto's massive fundraising and aggressive investment, which it has to respond to in kind by adopting similarly aggressive pricing and investment to offset the advantage that Blinkit would have gained if the investment were to cease. Consequently, it is in the best interest of each to continue with investment and discounting at the same aggressive rate, with neither able to gain ground, but both realizing higher losses. As such, Blinkit and Zepto engage in a war of attrition, with each firm announcing major fundraising activities and aggressively investing while simultaneously increasing the level of discounting to drive the other out of the market while taking advantage of the higher valuation and lower costs afforded by its larger size. The dynamic is a prisoner's dilemma game, with each firm being unwilling to change its strategy despite the losses due to the aggressive actions of the other. As such, it becomes necessary to consider various

game-theoretic aspects to determine the most suitable strategy for engaging in the competition. As demonstrated, each has the option of adopting a tit-for-tat strategy to encourage the rival to reconsider its strategy. On the other hand, either firm could take a more strategic approach, which would entail slowing down its investment and discounting to allow the other to catch up, at which point either can then reassess the situation depending on the changes that have taken place. The game theory can be applied in a variety of ways, including in the competition being observed. As demonstrated, the competition between the two players is more of a prisoner's dilemma game, with each making simultaneous moves to encourage the rival to adopt a strategy that will be more profitable for the firm. As such, it is important for a firm to consider the costs associated with the strategy before committing to it. Several game-theoretic considerations can be applied to the situation, including identifying the players, the strategies at the disposal of each, the payoffs for choosing a particular strategy combination, and the potential Nash equilibrium for the game. A Nash equilibrium exists for a game-theoretic scenario when a player has no incentive to change its strategy, given the strategy chosen by the other player. As such, it is useful to identify the Nash equilibrium and interpret the implications that it presents for a firm's strategy based on the game's outcome. Some of the implications of the prisoner's dilemma game include the fact that neither company is willing to adopt a strategy that will allow the other to benefit significantly from its move. As demonstrated, Blinkit and Zepto rarely adopt aggressive pricing strategies on the same level, with one always waiting to respond to the other. This is demonstrated by the analysis of the pricing decision of Zepto and Blinkit, in which one's decision to maintain regular prices while the other adopts heavy discounting allows the latter to gain volume and increase profits with minimal investment on the part of the firm. In essence, each firm expects the rival to adopt a pricing strategy that will be advantageous to it, which influences the decision it makes. It is this dynamic that leads to the two adopting similar levels of aggressive pricing and discounting, with little room for either to make a significant increase in profit, given the costs involved in sustaining the strategy. In other words, if Zepto decides to adopt standard pricing, it will not be able to gain profits or volume since Blinkit, which will be following the same strategy, will have an equally compelling value proposition. The same cannot be said if Blinkit decides to adopt heavy pricing since its announcement of increased pricing will see more customers choosing Zepto over Blinkit, with neither firm benefitting significantly.

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